

The simple fact is the majority of what the media churns out is irrelevant to your portfolio. Data points are occasionally important, but most of the time, much less so than many believe. If you are investing for retirement or generational wealth transfer decades in the future, what happened on Tuesday at 10:43 am is of little importance. Even if you find your favorite publication or financial channel entertaining, it should not be the basis of how you allocate capital, full stop.

Any “Alpha” in news flow is already being harvested by high-frequency trading hedge funds deploying big data and AI to catch short-term price movements. How can you compete with that? *You can’t and shouldn’t.* As my colleague Josh Brown likes to say, “The way to win against Wall Street is to not play their game.” ⁷⁶

What matters more than breaking news—including SEC or FDA decisions, takeovers, litigation outcomes, earnings reports—is the *reaction* to the news. That reflects how much of that info is already priced into market expectations and stock prices.

As I discuss later on, even when events of great geopolitical significance occur, markets tend to shudder, then go back to whatever they were doing before. It is very counterintuitive.

News organizations try to appeal to lots of people, so they have the disconcerting tendency to catch various trends just as they are peaking. Neal Frankle⁷⁷ explains why media should not be the source of your investment strategy. As we shall see in the next few chapters, they can even be contrary indicators.